

1 “I think there is a world market for maybe five computers.”

—Thomas Watson, chairman of IBM, 1943.

Here's some food for thought—there are three computers within my line of sight as I write this. To further put things in perspective, 83 million computers have already been sold just this year so far, with the total numbers of personal computers in use having already crossed the 2 billion mark. And while it took 27 years to reach the 1 billion sales mark, it only took 7 to grow from 1 billion to 2 billion. Now let's be fair, I don't



think anyone in 1943 had any idea that the personal computing industry would blow up the way it has in the last few decades.

And when Thomas Watson said “five computers”, he probably wasn't talking about the advanced portable computers we know now so much as “five vacuum-tube powered number adding machines that could fill up three rooms and consume an entire city block's worth of electricity supply”; still, as far as predictions go, this isn't particularly well-advised.

2 “The wireless music box has no imaginable commercial value. Who would pay for a message sent to nobody in particular?”

—David Sarnoff's associates in response to his urgings for investment in the radio, the 1920s



And David Sarnoff's associates were never invited to a conference table again. In the US radio penetration currently stands at 59% of the population, behind only TV, and ahead of internet and print. Between 2009-2019, the advertising revenue generated from radio is expected to be around \$17bn in the US and around \$31bn globally.

Closer to home, the radio industry in India is expected to be worth between ₹5000-6000 crores by 2020. Not too bad for a “wireless music box” with “no imaginable commercial value” that “no one would pay for”, right? Alas, if only David's associates were a little wiser, they would have struck the deal of the century.

3 “I'd shut Apple down and give the money back to the shareholders.”

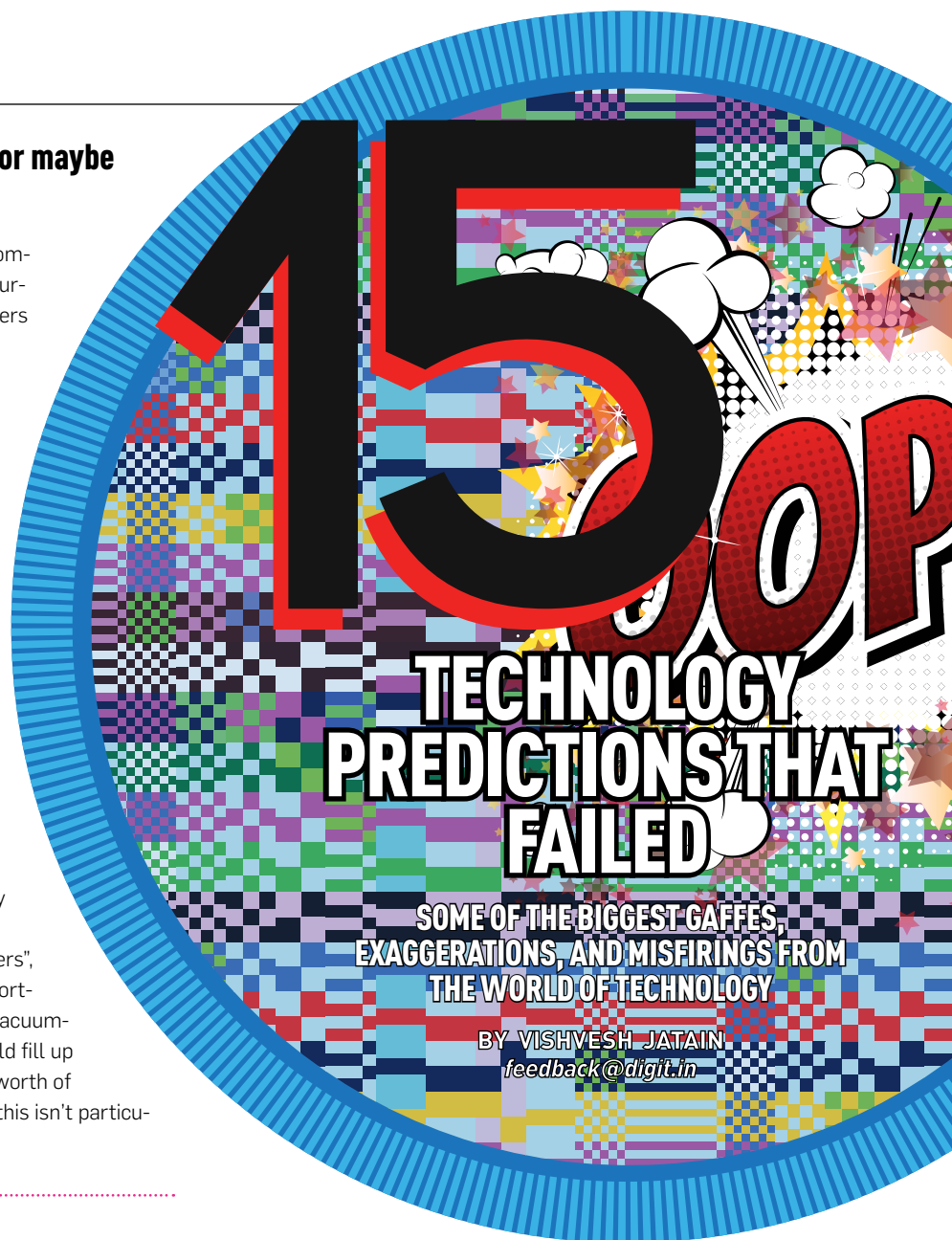
—Michael Dell, founder and CEO of Dell, 1997

When you're a competitor, you're sort of forced to take a contrary position by default. But Michael would have never imagined the ways in which this statement would come back to haunt him. Steve gave Michael some instant karma by mocking the living hell out of him in one of his media appearances following the latter's



statement, adding a prophetic, “We're coming after you, buddy,” towards the end, and came after him, he did. The rest, as they say, is history: Apple eventually not only crushed Dell, but the entire PC industry as a whole. You can watch the video on YouTube

by searching, “Steve Jobs hammers Michael Dell.” In recent years, Michael has repeatedly tried to backtrack on his statement, How ironic that Dell had to go private, after taking a \$2 million loan from Microsoft and Michael Dell. Ouch!



TECHNOLOGY
PREDICTIONS THAT
FAILED

SOME OF THE BIGGEST GAFFES,
EXAGGERATIONS, AND MISFIRINGS FROM
THE WORLD OF TECHNOLOGY

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